

CUSTOMS WARS

AMERICA FIRST AND THE RESHAPING
OF GLOBAL TRADE



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**America First
And the reshaping
of Global trade**

**The beginning
the timeline
the end**

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Introduction: The architecture of a global economic shock

The 20th of January 2025 did not merely mark a change in administration. As Cicero once observed, *omnium rerum principia parva sunt* (the beginnings of all things are small) , and yet this particular beginning carried the weight of decades. It signaled the formal dissolution of the post-WWII neoliberal consensus. For global CEOs, supply chain architects, and trade practitioners, the "predictable" world of low-barrier commerce vanished under the weight of Executive Order 14257.

This work is not a mere chronological recount of the 2025–2026 trade hostilities. It is a forensic analysis of a systemic mutation. By leveraging the International Emergency Economic Powers Act (IEEPA) to declare a national emergency over a trade deficit, the Trump administration didn't just tax goods; it weaponized the very definition of "National Security."

As a customs consultant and management expert, my objective is to dissect the "MAGA First" doctrine, not through the lens of political rhetoric, but through the cold reality of Stuttgart boardrooms and the Newark shipping docks. We will explore how the 10% baseline tariff and the 60% Chinese surcharge forced a brutal decoupling that most experts once deemed impossible. This is a guide for the "Difficult Path", a landscape where survival depends on navigating a reality where the rule of law is constantly being rewritten by the rule of the tariff.

At the onset of these upheavals, even I found myself momentarily overwhelmed. It took time to grasp the full scale of the ramifications and the cascading consequences of such a paradigm shift. My friends, colleagues, and some company's managers I know were all paralyzed by the same redundant questions: What is happening? Why now? Where is this leading? We were navigating a total "fog of war." To provide a clear, honest, and actionable answer, I dedicated myself to months of synthesis, gathering intelligence from ground-level news, global bulletins, and deep-dive analyses from world-class experts. Under the gentle but persistent pressure of my inner circle, I decided to document this synthesis. My hope is that this record serves as a definitive "lesson learned," offering a roadmap through the real-world political implications that are currently reshaping the future of our troubled and fast-evolving economic scene.

Chapter One

The “MAGA first” doctrine

Philosophy and Architecture of Economic Nationalism

“Tariff is the most beautiful word in the dictionary, more beautiful, to me, than faith, love, or mother.”

Donald J. Trump

There is a room I want you to picture before we look at any law, any economic model, or any executive order. It is a boardroom in Stuttgart, Germany, in the second week of April 2025. Around a long conference table sit the chief financial officer of a major automotive components supplier, the company’s general counsel, its head of US operations, and a trade compliance consultant on speakerphone from Brussels. On the table, printed in haste from a White House website at three in the morning European time, is Executive Order 14257, signed three days earlier in the Rose Garden of the White House by President Donald J. Trump. The order declares a national emergency over the United States goods trade deficit. It imposes a ten percent baseline tariff on imports from virtually every country on earth. It schedules higher individualized rates for fifty-seven countries to take effect in five days.

The CFO’s question, when the room fell quiet, was direct. “How much of our two-point-three billion dollars in annual US-bound export volume is now subject to tariffs that didn’t exist last week?”

The answer was all of it.

That moment, that specific collision between a president’s decades-old economic convictions and the strategic assumptions of a global corporation, is the subject of this book. But before we can understand what happened in 2025, we need to understand the worldview that made it possible. Because the tariff war that unfolded over the next twelve months was not

improvised. It was not a crisis response. It was a doctrine, translated into policy with the systematic precision of a plan that had been waiting for the right moment for thirty years.

A Worldview formed since the 80s :

To understand President Trump's approach to trade, one must first reckon with a conviction that hardened over four decades. The ancient moralists warned that *radix omnium malorum est cupiditas* (the root of all evil is greed), but in this story, the obsession was not greed alone: it was the belief that America was being robbed. You have to go back not to 2016 or 2018, but to 1987. In that year, a forty-one-year-old real estate developer placed a full-page advertisement in several major American newspapers arguing that Japan was taking advantage of the United States through unfair trade practices and that America should impose tariffs to level the playing field. The language in that 1987 advertisement is almost word-for-word the language of the 2025 Liberation Day executive orders. Substitute China for Japan, update the dollar figures, add the word IEEPA, and you have the core argument that would justify the largest tariff offensive in modern American history. The doctrine did not evolve in the intervening four decades. It calcified.

What changed between 1987 and 2025 was not the belief. It was the power. When President Trump returned to office on January 20, 2025, he brought with him something he had lacked in his first term: a unified Republican Congress, an ideologically sympathetic Supreme Court majority, a network of economic nationalists installed in every relevant agency, and, most critically, two statutory authorities that, in combination, gave a president with maximum ambition essentially unlimited short-term tariff power.

The first authority was the International Emergency Economic Powers Act, known as IEEPA. Passed in 1977, IEEPA was designed to give the president the ability to regulate financial transactions, freeze assets, and impose sanctions in genuine national security emergencies. It had been used, consistently and appropriately, to sanction Iran, North Korea, Venezuela, and Russia. It had never been used to impose broad tariffs. The administration's argument in 2025 was that the United States goods trade deficit constituted a national emergency, and that IEEPA's authority to regulate importation covered tariff schedules. Trade lawyers across the ideological spectrum noted immediately that this interpretation stretched the statute

beyond any textual or historical precedent. The courts would eventually agree. But the courts move slowly, and tariffs take effect immediately.

The second authority was Section 232 of the Trade Expansion Act of 1962, which authorizes the president to impose import restrictions when a formal Commerce Department investigation concludes that imports threaten national security. This authority had been upheld by courts. It had been used in President Trump's first term for steel and aluminum. It was, in other words, legally solid ground, and it was dramatically expanded in 2025 to cover automobiles, copper, timber, semiconductors, pharmaceuticals, and furniture.

The January 2025 Blueprint :

The first day of the second President Trump administration was not a ceremonial occasion. It was an operational launch. The 'America First Trade Policy' memorandum, signed on January 20, 2025, was a directive with teeth: it instructed the US Trade Representative, the Department of Commerce, and the Treasury to deliver comprehensive reports on foreign trade barriers and draft retaliatory tariff proposals by April 1, 2025. That April 1 deadline was not chosen at random. It fell eleven days before Liberation Day. The countdown to the largest trade shock in modern history was built into the president's first executive document.

A second directive, issued on February 13, formalized the reciprocal tariff framework. It instructed agencies to evaluate, for every trading partner, the combination of that country's tariffs on US goods, its non-tariff barriers, its exchange rate practices, and its bilateral trade balance with the United States. The resulting calculation, divide the trade surplus by import volumes, halve the result, would produce the country-specific Liberation Day rates. The methodology was subsequently criticized with near-unanimity by professional economists, who noted that it had no coherent theoretical basis and produced rates for some countries that exceeded any plausible measure of their actual trade barriers by multiples. Vietnam came out at forty-six percent. Cambodia at forty-nine. These numbers bore no relationship to the tariff barriers those countries actually imposed on US goods. They bore every relationship to the size of the trade surplus those countries ran with the United States. In the administration's framing, a trade surplus was by definition evidence of unfair practice. The economics profession disagreed. The White House proceeded anyway.

Author's Note: Why the Formula mattered?

The reciprocal tariff formula deserves more attention than it received in most coverage of Liberation Day. It was not merely a methodology for calculating rates, it was a statement of philosophy. By equating trade surpluses with unfair practices, the administration embedded a fundamentally mercantilist worldview into official US policy: the idea that trade is a competition where surpluses mean winning and deficits mean losing, and that the appropriate response to a deficit is a tariff that punishes the surplus country until the numbers equalize.

This is not how trade works. Trade balances are determined by macroeconomic fundamentals, the difference between a country's national savings rate and its investment rate. A country that saves less than it invests will run a current account deficit regardless of its tariff structure, because it is importing capital. The United States has run a current account deficit almost continuously since the early 1980s, not because its trading partners are cheating, but because American consumers and businesses borrow and spend at rates that exceed American savings. No tariff structure changes that arithmetic. The 2025 data would prove this conclusively. After two hundred and sixty-four billion dollars in tariff revenues, after the most disruptive trade year in eight decades, the US goods trade deficit fell by approximately two billion dollars. On a baseline of over a trillion, that is a rounding error.

The Trade deficit narrative and the economic reality :

The medieval maxim *vox populi, vox dei* (the voice of the people is the voice of God) captures something essential here: the political power of the trade deficit argument resided not in its economic accuracy but in its emotional resonance. To voters in Youngstown, Ohio, and Gary, Indiana, and Flint, Michigan, cities that had watched their manufacturing base hollow out over decades of globalization, the idea that foreign countries were cheating the United States was not an abstract economic claim. It was a lived experience. The factories that had provided their parents' generation with stable, well-paying work had left. The jobs had gone somewhere else. The communities had declined. And the politicians who had presided over this transformation had consistently promised that free trade would create new, better jobs to replace the ones lost. For many working-class Americans, that promise had not materialized.

President Trump's genius, if genius is the right word, was to connect this economic grievance to a simple, actionable cause and a simple, dramatic solution. The cause was unfair trade practices by foreign countries. The solution was tariffs that would make foreign goods expensive and American goods competitive again. The argument was economically

questionable but politically irresistible, and it had been building since his 2016 campaign. By the time he returned to office in 2025, it was not a theory to be tested. It was a conviction to be executed.

The economic evidence that accumulated over the course of 2025 told a more complicated story. The Yale Budget Lab, in its comprehensive assessment of all 2025 tariffs, estimated that they reduced real GDP growth by approximately nine-tenths of a percentage point and left the US economy persistently six-tenths of a percent smaller in the long run, equivalent to roughly one hundred and sixty billion dollars annually in foregone output. The average American household lost approximately three thousand eight hundred dollars in purchasing power, measured in 2024 prices. Food prices rose by two-point-eight percent. The average imported automobile increased in price by approximately four thousand dollars. The Peterson Institute for International Economics documented that US exports fell by eighteen-point-one percent under the full tariff regime, as foreign retaliation closed markets that American farmers, manufacturers, and service exporters had spent decades building. The most affected sectors were those that had provided the core of President Trump's domestic constituency: agriculture, durable goods manufacturing, and mining.

The trade deficit itself, the declared national emergency, the stated justification for the entire programme, barely moved. The total reduction in the goods trade deficit was approximately two billion dollars on a baseline of over one trillion. This was not a surprise to economists. As the Peterson Institute had predicted before Liberation Day, tariffs can redirect where a deficit occurs but cannot eliminate the aggregate gap. When the US reduces imports from China, it increases imports from Vietnam, Mexico, Taiwan, and whoever else can supply the goods. The deficit changes shape. It does not shrink.

The Domestic Coalition acting :

No trade policy survives without a domestic constituency. The Roman strategists understood ***divide et impera*** (divide and rule), and the 2025 tariff offensive applied exactly that logic, fragmenting opposition while consolidating a well-organized and politically powerful base. Steel and aluminum producers had been the original core of President Trump's trade nationalism since 2018, when the first Section 232 metal tariffs were imposed. Companies like Nucor, US Steel, and Cleveland-Cliffs had spent years arguing that Chinese overcapacity

was destroying American industrial capacity, and they were correct that the problem was real, even if the proposed solution was contested. The 2025 expansion of metal tariffs was their vindication and their reward.

Around this core gathered a broader coalition: Rust Belt manufacturing communities who had been promised that tariffs would restore the jobs that globalization had taken; economic nationalist intellectuals and think tanks who argued that decades of free trade orthodoxy had systematically transferred American industrial capability to geopolitical rivals; and the broader populist base that viewed the political establishment's embrace of free trade as the most consequential domestic betrayal of the post-Cold War era. For this coalition, the tariffs were not just a trade policy. They were a statement of national identity.

Against this coalition stood an opposition that was vocal, organized, and ultimately insufficient. The National Retail Federation warned in April 2025 that consumers would face visible price increases and product shortages by mid-May. The nation's largest retailers, Walmart, Target, Home Depot, sent their chief executives to Washington to testify about supply chain disruption and consumer cost implications. The US Chamber of Commerce filed legal briefs in the constitutional challenge to the IEEPA tariffs. None of it moved the policy. The agricultural sector presented the most politically awkward opposition: American farmers, who had voted overwhelmingly for President Trump, were among the most immediately and severely damaged by Chinese retaliation, which specifically targeted soybeans, pork, corn, and cotton, the commodities central to the very states that had delivered President Trump his electoral margins.

A Reuters/Ipsos poll conducted in April 2025 captured the cognitive dissonance at the heart of public opinion on the tariffs. Seventy-three percent of Americans expected prices to rise as a result of the tariff programme. Fifty-seven percent opposed the tariffs when informed of their likely consumer cost impact. Yet President Trump's approval ratings on 'standing up to unfair trade' remained robust throughout. Americans disliked the cost of the tariffs and endorsed the posture behind them simultaneously. This paradox, opposing the policy while approving the politics, is the fundamental reason why the tariff regime survived domestic political opposition far longer than its economic consequences would have predicted.

The Agricultural Paradox :

The cruelest irony of the 2025 trade war cocern the farmers, soybean growers in Iowa and corn farmers in Indiana, pork producers across the Midwest, were among the first and hardest hit by Chinese retaliation. China did not gradually reduce its US soy purchases. It stopped. Chinese state-owned grain purchasers switched to Brazilian suppliers with the efficiency of a military logistics operation. Within sixty days of Liberation Day, Brazilian soybean exports to China had hit a record high, and American suppliers were looking for markets that did not exist at anywhere near the same scale. The US agricultural sector has still not recovered those relationships. Trade flows lost to retaliation do not automatically return when tariffs are lifted. The new supply chain relationships have their own momentum, their own contracts, their own infrastructure. The American soybean farmer did not lose gradually. They lost overnight.

The constitutional conformity question :

St. Augustine's foundational principle, *lex iniusta non est lex* (an unjust law is no law at all), resonated in courtrooms across the country from the moment the Liberation Day executive orders were published. Trade lawyers across the ideological spectrum immediately identified a fundamental constitutional question: did the president have the authority to impose tariffs of this scale and breadth under IEEPA? The statute's text authorized the president, in a national emergency, to regulate financial transactions, block asset transfers, and impose sanctions. Its legislative history, the debates and committee reports that accompanied its passage in 1977, contained no reference to tariff authority. The law had been created specifically to replace an earlier statute that had authorized tariffs, precisely because Congress wanted to separate the two functions. Using IEEPA to impose tariffs was, critics argued, not merely legally adventurous. It was legally backwards.

The administration's counter-argument was structural rather than textual: that regulating importation necessarily includes the power to tax it, and that the broad language of IEEPA gave the president sufficient authority for any measure directed at the economic dimensions of a declared national emergency. It was a maximalist reading of executive power, the kind of reading that tends to prevail when it goes unchallenged and fail when courts apply ordinary statutory interpretation principles.

Courts applied ordinary statutory interpretation principles. The US Court of International Trade struck down the IEEPA tariffs in May 2025. The Federal Circuit Court of Appeals upheld that decision. The Supreme Court took the case, heard oral arguments in November 2025,

and on February 20, 2026 ruled six to three that IEEPA does not authorize the president to impose tariffs. The reciprocal tariff framework, the Liberation Day architecture in its entirety, was constitutionally dead.

What survived was the Section 232 framework: the steel and aluminum tariffs, the automobile tariffs, the copper tariffs, the pharmaceutical tariffs, the timber and furniture tariffs. These rested on legal ground that the courts had consistently upheld, and the Supreme Court did not disturb them. The post-ruling average US tariff rate settled at approximately nine percent, still three to four times the pre-2025 level of two-point-four percent, still the highest sustained rate in decades, still representing a permanent structural shift in the cost of importing goods into the United States.

The doctrine that produced Liberation Day was not a temporary aberration. It was the culmination of a worldview that had been building for forty years, expressed through legal authorities that were real even if one of them proved constitutionally overreaching, supported by a domestic political coalition that remains energized and organized. The Supreme Court closed one door. It did not dissolve the movement that walked through it. Understanding that fact is the prerequisite for understanding everything that follows.

Chapter Two :

Liberation Day

The Chronology of an Escalation: January to December 2025

“If we are going to be taken advantage of on trade, it might just be that we had to do something dramatic.”

President Trump, Rose Garden, April 2, 2025

Ovid’s ancient observation states ***gutta cavat lapidem non vi sed saepe cadendo*** (the drop hollows the stone not by force, but by constant falling). The 2025 tariff war did not arrive like a thunderstorm, sudden, unpredicted, over quickly. It built the way a siege builds: methodically, step by step, each move creating the conditions for the next. To understand it, you need to follow it in sequence, because the logic of each phase depends on what came before. The opening months were targeted strikes. Then came Liberation Day, the shock that defined the year. Then the pause, the deals, the escalations, the legal challenges, and finally the Supreme Court ruling that ended the constitutional chapter without ending the tariff story. This chapter is the full record.

Phase One: The opening shots, January to March 2025

On January 20, 2025, the very first document that President Trump signed as president for the second time was not about immigration or energy or the economy in the broad sense. It was about trade. The ‘America First Trade Policy’ memorandum instructed the US Trade Representative, the Department of Commerce, and the Treasury to deliver comprehensive reports on foreign trade barriers and draft retaliatory tariff proposals by April 1. The April 1 deadline was eleven days before Liberation Day. The countdown was built into the administration’s first act.

The first concrete tariff actions came on February 1, when President Trump invoked IEEPA to impose twenty-five percent tariffs on Canada and Mexico, citing fentanyl trafficking and

illegal immigration as the national emergencies that justified the measure. China, already subject to tariffs from the first President Trump term, received an additional ten percent on top of the existing rates. Canada and Mexico had the tariffs suspended after forty-eight hours when their leaders made direct calls to President Trump, receiving a thirty-day pause in exchange. China made no such approach and received no pause. Round one of the US-China trade confrontation of 2025 had begun.

In the weeks that followed, the administration moved on several fronts simultaneously. On February 11, it tightened and expanded the steel and aluminum tariffs originally imposed under Section 232 in 2018, removing or reducing the exemptions that several trading partners had negotiated during the first President Trump term. The message was clear: the era of carve-outs was over. On February 13, the reciprocal tariff formula was formalized. On March 11, the Commerce Department opened formal Section 232 investigations into copper and timber, the legal prerequisite for tariffs on those materials. On March 24, an executive order imposed a twenty-five percent tariff on any country purchasing Venezuelan oil, extending the use of tariffs as a foreign policy instrument beyond trade barriers into the realm of energy geopolitics.

By late March 2025, before the main event had occurred, the average US tariff rate had already reached approximately twelve percent, the highest level since World War II, according to Deutsche Bank Research. The extraordinary thing is that this figure would more than double in the weeks ahead.

Phase Two: Liberation Day and its immediate aftermath, April 2025

The Rose Garden ceremony of April 2, 2025, was staged for maximum political impact. With Cabinet members and members of Congress assembled behind him and the press corps arrayed in front, President Trump signed Executive Order 14257 with the ceremony of a state document. The order declared a national emergency over the US goods trade deficit and invoked IEEPA to impose a ten percent baseline reciprocal tariff on imports from virtually every country on earth, effective April 5. Higher individualized rates for fifty-seven countries

were scheduled to take effect on April 9. The administration called it Liberation Day. Its trading partners called it something else.

The market reaction was immediate and severe in a way that even seasoned financial professionals found extraordinary. Global equity markets crashed. The S&P 500 suffered one of its worst multi-day declines since the COVID crash of 2020. An estimated five to six trillion dollars in global equity market value was erased in the days following the announcement. US Treasury yields spiked as international investors reassessed their holdings of American debt. The dollar weakened against major currencies as markets priced in the inflationary and growth-dampening effects of the tariff programme. The administration had clearly expected market volatility. The scale of the reaction suggested it had not fully anticipated it.

On April 3, the Section 232 automobile tariff took effect: twenty-five percent on all imported vehicles and auto parts, regardless of origin. Every car assembled outside the United States, German luxury vehicles, Japanese sedans, South Korean hatchbacks, Mexican-assembled trucks, was immediately more expensive to import. J.P. Morgan later estimated this added approximately four thousand dollars to the average price of an imported vehicle in the US market.

The most consequential single day of the entire trade war came on April 9. That morning, President Trump announced a ninety-day pause on the higher country-specific Liberation Day rates, citing the intense diplomatic pressure and market turmoil of the preceding week. The ten percent baseline continued to apply to most countries. But China was explicitly and pointedly excluded from the pause. Instead, as the pause was announced, US tariffs on Chinese goods escalated to one hundred and twenty-five percent. China responded within hours, raising its counter-tariffs on US goods to one hundred and twenty-five percent as well and imposing export restrictions on rare earth materials, the minerals essential for electric vehicle motors, wind turbines, semiconductor manufacturing, and military guidance systems. Simultaneously, the eight-hundred-dollar de minimis exemption was eliminated for packages from China and Hong Kong, dealing an immediate blow to Chinese e-commerce platforms like Shein, Temu, and AliExpress that had built their entire US market access on duty-free small parcel shipping.

Over the following forty-eight hours, further escalation brought US tariffs on Chinese goods to one hundred and forty-five percent. China held at one hundred and twenty-five. The two

largest economies on earth had imposed triple-digit tariff barriers on each other's exports. At those rates, most normal bilateral trade was economically unviable. Importers on both sides scrambled to find alternative sources. American soybean farmers watched their Chinese order books evaporate. Chinese manufacturers began redirecting production toward other markets. The decoupling that had been a theoretical policy discussion since 2018 was happening, in real time, at extraordinary speed.

The ninety-day pause created a diplomatic window that several countries moved quickly to exploit. Japan, South Korea, the United Kingdom, Vietnam, the Philippines, and Indonesia all initiated or accelerated bilateral negotiations during the pause period. The EU began a parallel track of diplomatic engagement while simultaneously preparing legal counter-measures and WTO filings. The template that emerged from these negotiations was consistent: countries that wanted tariff relief had to offer something concrete in return, investment commitments, removal of specific trade barriers, or purchasing pledges for American energy and agricultural products. Japan, which accepted a fifteen percent rate in July 2025, committed to significant US investment. South Korea, which also landed at fifteen percent, pledged three hundred and fifty billion dollars in US investment over multiple years. Vietnam accepted twenty percent, with a forty percent rate applying to goods transshipped through Vietnam from China, a provision that signaled the administration's awareness that simple tariff avoidance through third-country routing was not going to be tolerated.

Phase Three: Deals, Escalation and the \$100 Billion Milestone, May to September 2025

While the ninety-day window produced a set of bilateral deals with willing partners, it also saw the legal challenge to the IEEPA tariffs gain its first significant victory. On May 28, 2025, the US Court of International Trade ruled that IEEPA did not authorize the president to impose broad tariffs. The court's reasoning was straightforward: the statute was designed for sanctions and asset freezes, not tariff schedules, and its legislative history contained no support for tariff authority. The ruling was a significant legal development, but its immediate practical impact was limited because the tariffs remained in effect pending appeal. Businesses continued to pay. The revenue continued to flow into the Treasury. The legal

battle had been won in principle by the challengers; the economic battle was still ongoing at every port of entry.

In June, the Supreme Court declined to fast-track the case, meaning full appellate proceedings would need to run their course before a definitive ruling. On June 26, a diplomatic breakthrough of a different kind: China agreed to restore rare earth exports to the United States, removing the most acutely destabilizing non-tariff weapon that Beijing had deployed on April 9. The deal was narrow, it addressed only the rare earth restriction, not the tariff confrontation itself, but it reduced the risk of acute supply chain failure in the US technology and defense sectors.

July and August brought a cascade of developments. On July 2, the Vietnam deal was formalized at twenty percent with the anti-transshipment clause. On July 11, US customs duty collections for the fiscal year surpassed one hundred billion dollars for the first time in American history, marking a milestone that the administration cited as evidence of the tariffs' revenue-generating power, and that economists cited as evidence of the tariffs' cost to American importers and consumers. On July 12, President Trump threatened the European Union with a thirty percent tariff on all EU goods, effective August 1, dramatically accelerating EU-US negotiations. On July 24, the Japan deal was announced at fifteen percent. On July 30, two fifty-percent tariffs landed on the same day: copper, concluding the March Section 232 investigation, and Brazil, linked to its relationships with Venezuela and Russia. On July 31, South Korea agreed to fifteen percent in exchange for the investment pledge. On August 7, the ninety-day pause expired for countries that had not reached deals, and country-specific rates resumed.

The EU framework agreement was published on August 21, ending the immediate threat of a thirty percent tariff on European goods and establishing a baseline for ongoing sector-specific negotiations. On August 27, India faced a twenty-five percent secondary tariff for purchasing Russian oil, an application of the Venezuela oil tariff logic to a country that the US simultaneously needed as a strategic partner against China. And on August 29, the Section 321 de minimis exemption was eliminated for all countries, not just China, ending the era of duty-free small parcel shipping that had underpinned much of the cross-border e-commerce growth of the previous decade. Over one-point-three-six billion small parcels per year that had previously entered the United States duty-free now required formal customs entry.

Phase Four: Sector expansion and the legal countdown, October to December 2025

The autumn months brought the tariff programme into new sectors. On October 1, a one-hundred-percent tariff on branded and patented pharmaceutical drugs from companies without US manufacturing took effect, the most aggressive pharmaceutical trade action in American history, forcing European and Japanese drug companies to choose between building American factories and accepting that their products would double in price at the US border. September and October also brought timber tariffs at ten percent, furniture tariffs at twenty-five percent, and large truck tariffs at twenty-five percent, extending the tariff architecture into the construction, home goods, and transportation sectors.

On November 5, the Supreme Court heard oral arguments in the consolidated IEEPA tariff cases. The core question was simple but consequential: did IEEPA authorize the president to impose broad tariffs? The plaintiffs, importers who had been paying the tariffs since April, argued it did not. The administration argued it did. The justices' questions during oral argument gave observers across the ideological spectrum the strong impression that the majority was skeptical of the administration's position.

By December 31, 2025, the arithmetic of the year was in. The United States had collected between two hundred and sixty-four and two hundred and eighty-seven billion dollars in customs duties, a one-hundred-and-ninety-two-percent increase over the seventy-nine billion collected in 2024. The average US tariff rate had risen from two-point-four percent to seven-point-seven percent, the highest level since 1947. US exports had fallen by eighteen-point-one percent. The US goods trade deficit had declined by approximately two billion dollars on a baseline of over one trillion. The consumer price impact included a two-point-eight-percent increase in food prices, roughly four thousand dollars added to the average imported vehicle, and an estimated three thousand eight hundred dollars in lost purchasing power per American household. GDP growth had been reduced by nine-tenths of a percentage point. The stated objective, eliminating the trade deficit, had not been achieved. The tariff programme had been, by its own declared metrics, a failure. By its revenue metrics, a historic success. By its costs-to-benefits analysis, deeply and demonstrably negative.

The chronology of 2025 is not merely a sequence of events. It is a demonstration of how a single, consistent doctrine, applied with maximum aggression, armed with genuine legal authorities, supported by a real domestic constituency, and willing to absorb significant collateral economic damage in pursuit of its objectives, can reshape the global trading order in a single year. The world that existed on January 19, 2025, and the world that existed on December 31, 2025, were different worlds. The border had changed. The relationships had changed. The legal architecture had changed. And the question of what would survive the Supreme Court's judgment was still, as the year ended, unanswered.

Chapter Three :

The Step-by-Step Timeline :

How the 2025 Trade War Unfolded

"There is a myriad of evidence of American economic stagnation and declines in American manufacturing."

TIME Magazine, January 2026

The 2025 tariff war did not explode overnight. It built up like a storm system, layer by layer, executive order by executive order, retaliation by retaliation, over twelve months. To understand it, you need to follow it in sequence.

This chapter tells that story in the simplest possible way: what happened, when it happened, who hit back, and what it cost. No jargon. No complexity for its own sake. Just the facts of the most consequential trade offensive since 1930, laid out in the order they actually occurred.

To understand 2025, you need to understand one simple belief that President Trump had held since the 1980s: that trade deficits are scorecards. When the US buys more from another country than it sells to them, President Trump saw it as America losing, being taken advantage of. Most economists disagree with this view. They say trade balances are driven by broader economic forces, savings rates, investment levels, currency values, not by unfair practices. But in President Trump's framework, a deficit meant someone was cheating.

Armed with that belief and two legal tools, IEEPA (emergency economic powers) and Section 232 (national security tariffs), President Trump returned to office on January 20, 2025, with a clear plan: use tariffs as a weapon to force every major trading partner back to the negotiating table.

What followed was a year-long escalation that touched every continent, triggered the biggest legal battle over presidential trade authority in American history, and ended with the Supreme Court striking down the core of the programme. Here is how it happened, month by month.

PHASE 1, January to March 2025

The Opening Shots : Before the world knew what 'Liberation Day' meant, President Trump was already pulling the trigger.

JAN 20, 2025 [ACTION] Day One: The Countdown Begins

President Trump signs the 'America First Trade Policy' memorandum on his very first day back in office. It instructs the US Trade Representative, Commerce Department, and Treasury to deliver comprehensive reports on foreign trade barriers and draft retaliatory tariff proposals by April 1, 2025. That April 1 deadline is not arbitrary, it is eleven days before Liberation Day. The machinery of the trade war is switched on immediately.

FEB 1, 2025 [ACTION] First Tariffs: Canada, Mexico, China

President Trump invokes IEEPA to impose tariffs citing fentanyl trafficking and illegal immigration as national emergencies. Canada and Mexico face 25% tariffs. China faces an additional 10% on top of existing Section 301 tariffs already in place from the first President Trump term. Canada and Mexico get a brief 30-day pause on February 3 after diplomatic phone calls. China does not.

FEB 11, 2025 [ACTION] Steel and Aluminium: Tightened and Expanded

The administration tightens enforcement of existing steel and aluminium tariffs and adjusts rates. These tariffs, originally imposed in 2018 under Section 232, are now applied with fewer exemptions. Metal-producing countries that had negotiated carve-outs find those exemptions reviewed or removed. The message: no one has a free pass.

FEB 13, 2025 [ACTION] The Reciprocal Tariff Blueprint Is Formalised

A second executive directive formalises the reciprocal tariff framework. It instructs agencies to calculate, for every trading partner, a 'reciprocal rate' based on that country's tariffs on US goods, non-tariff barriers, and trade balance. The formula will later be widely criticised by economists, but the political machinery is now set. The calculation will produce the Liberation Day tariff rates.

MAR 11, 2025 [ACTION] New Investigations: Copper and Timber

The Commerce Department initiates Section 232 national security investigations into copper and timber imports. These are the first steps toward tariffs on two major construction and manufacturing inputs. Companies that build with copper pipes and timber frames start watching carefully.

MAR 24, 2025 [ACTION] Venezuela Oil Tariff, Trade Meets Foreign Policy

President Trump signs an executive order imposing a 25% tariff on any country purchasing Venezuelan oil. This is a significant escalation: it uses trade policy as a foreign policy weapon, threatening allies and trading partners for their energy relationships rather than their trade barriers. Countries importing Venezuelan crude, including several in Asia and Europe, are now in scope.

ECONOMIC IMPACT, End of Phase 1

- By late March 2025, the average US tariff rate had already reached approximately 12%, the highest since World War II, according to Deutsche Bank Research.
- And the main event, Liberation Day, had not yet happened.

PHASE 2 : April 2025

Liberation Day : The single biggest trade action in modern American history, and the global market shock that followed.

APR 2, 2025 [ACTION] Liberation Day, Executive Order 14257

In a White House Rose Garden ceremony, President Trump signs Executive Order 14257. He declares a national emergency over the US goods trade deficit and invokes IEEPA to impose a 10% baseline 'reciprocal tariff' on imports from nearly every country on earth, effective April 5. Higher individualised rates for 57 countries are scheduled to kick in on April 9. The administration's stated goal: drive bilateral trade deficits to zero.

APR 3, 2025 [ACTION] 25% Tariff on All Foreign Automobiles

A 25% tariff on all imported automobiles and auto parts takes effect under Section 232. Every car assembled outside the United States, regardless of which country it came from, is immediately more expensive to import. German luxury brands, Japanese manufacturers, South Korean carmakers, and Mexican assembly plants are all hit simultaneously. J.P. Morgan later estimates this adds approximately \$4,000 to the average price of a new imported vehicle.

APR 4–5, 2025 [MARKET] Global Markets Crash

Financial markets react immediately and severely to the Liberation Day announcement. The S&P 500 drops sharply. US Treasury yields rise. The dollar weakens against major currencies. In the days following the announcement, an estimated \$5–6 trillion in global equity market value is wiped out. The scale of the tariff shock exceeds what markets had priced in, even after months of warnings.

APR 9, 2025 [ACTION] Country-Specific Rates Paused, Except for China

Facing market turmoil and intense diplomatic pressure, President Trump announces a 90-day pause on the higher country-specific tariff rates. The 10% baseline continues to apply globally. But China is explicitly excluded from the pause. Instead, US tariffs on Chinese goods escalate to 125% on this day, and China responds by raising its tariffs on US goods to 125% as well. The US-China trade war has now entered its most extreme phase.

APR 9, 2025 [RETALIATION] China's Counter-Strike: 125% and Rare Earths

Beijing announces 125% tariffs on US goods, matching the US rate step for step. Simultaneously, China restricts exports of rare earth materials, which are essential for manufacturing electric vehicles, semiconductors, smartphones, and military equipment. The US has very limited domestic rare earth production. This is Beijing's most powerful non-tariff weapon, and it uses it immediately.

APR 9, 2025 [ACTION] De Minimis Eliminated for Chinese Parcels

The \$800 de minimis exemption, which had allowed small packages from China to enter the US duty-free, is simultaneously eliminated for China and Hong Kong. Platforms like Shein, Temu, and AliExpress, which had built their entire US business model around this exemption, are immediately affected. Millions of daily parcels now require formal customs entry and duty payment.

ECONOMIC IMPACT, End of Phase 2 :

- At the peak of the escalation, US tariffs on Chinese goods reach 145%. China's tariffs on US goods reach 125%.
- Politico estimates that even with the 90-day pause on other countries, the remaining tariffs push the effective average US tariff rate to 27%, the highest in over a century.
- A Reuters/Ipsos poll finds 73% of Americans expect a price surge, and 57% oppose the tariffs.

GLOBAL RESPONSE

- Canada: retaliatory tariffs on US goods; eventual pause after diplomatic engagement.
- EU: pledges counter-measures; files WTO disputes; begins internal negotiations on response.
- Japan, South Korea, Vietnam, Philippines: immediately request bilateral negotiations.
- India: holds its position; faces future secondary tariffs for Russian oil purchases.

PHASE 3 : May to September 2025

Deals, Escalation, and \$100 Billion : The 90-day negotiating window, who got a deal, who got hit harder, and when the money started flowing.

MAY 28, 2025 [LEGAL] Court Strikes Down IEEPA Tariffs

The US Court of International Trade rules that the IEEPA tariffs are unconstitutional. The court finds that IEEPA, designed for sanctions and asset freezes, does not grant the president authority to impose broad tariffs. The tariffs remain in effect during the appeal process, meaning businesses continue to pay them. The legal battle now moves to the Federal Circuit and, ultimately, the Supreme Court.

JUN 26, 2025 [DEAL] China Rare Earth Deal, A Partial Ceasefire

After months of restriction, China agrees to restore rare earth exports to the US. The deal is reached after intense back-channel diplomacy. The US technology and defence industries, which depend on these materials, breathe a temporary sigh of relief. But the core tariff confrontation, 145% vs. 125%, remains unresolved.

JUL 2, 2025 [DEAL] Vietnam Framework Agreement

Vietnam reaches a deal with the US: 20% tariff rate (reduced from the threatened 46%), with 40% applied to trans-shipped goods, goods that are routed through Vietnam to disguise their Chinese origin. The trans-shipment clause is significant: it signals that Washington is actively targeting supply chain rerouting designed to avoid China tariffs.

JUL 11, 2025 [MARKET] Customs Revenue Passes \$100 Billion

US customs duty collections surpass \$100 billion for the fiscal year, the first time this threshold has been crossed in American history. The milestone arrives months ahead of what pre-2025 projections would have suggested. The money is real. The political argument that tariffs 'pay for themselves' gains temporary traction in Washington, even as economists point out that consumers and businesses are footing the bill.

JUL 12, 2025 [ACTION] EU Threatened with 30% Tariff

President Trump announces a threatened 30% tariff on EU goods, effective August 1, later delayed. The announcement accelerates EU-US negotiations and creates intense pressure within the European Union, where member states with heavy US trade exposure (Germany's auto sector, Ireland's pharmaceutical industry) push for a negotiated outcome over confrontation.

JUL 24, 2025 [DEAL] Japan Accepts 15% Rate

Japan agrees to a 15% tariff rate, significantly below the threatened 25–35%. In exchange, Japan commits to substantial US investment. The deal is announced by President Trump as a victory. Japanese manufacturers, who had feared much higher rates, accept the outcome as damage limitation.

JUL 30, 2025 [ACTION] Copper at 50% and Brazil at 50%

President Trump signs a 50% tariff on copper imports, the conclusion of the March Section 232 investigation. On the same day, 50% tariffs on Brazilian goods are announced, partly linked to Brazil's relations with Venezuela and Russia. Brazil, which had hoped to benefit from US-China decoupling as an alternative supplier, instead finds itself targeted directly.

JUL 31, 2025 [DEAL] South Korea Accepts 15% Rate

South Korea lands at 15%, down from a threatened 25%, in exchange for committing to \$350 billion in US investment. The investment pledge becomes a template: countries that want tariff relief must offer concrete economic commitments to the US economy in return.

AUG 7, 2025 [ACTION] Country-Specific Tariffs Resume

The 90-day pause expires. Country-specific reciprocal tariff rates resume for countries that have not reached a deal. The baseline 10% remains for most partners; countries that negotiated during the pause now have their agreed rates in place. Countries that did not negotiate now face the full individualised rates.

AUG 21, 2025 [DEAL] US-EU Framework Agreement Published

The EU and US publish a framework agreement. The EU avoids the threatened 30% tariff; the US gets concessions on trade barriers and a commitment to reduce EU tariffs on US goods. The EU initiates legislation to remove tariffs on US goods on August 28. The deal is imperfect for both sides, but both sides take it.

AUG 27, 2025 [ACTION] India Hit with 25% Secondary Tariff

India faces a 25% secondary tariff, not for its trade barriers, but for its continued purchase of Russian oil. The Venezuela oil tariff logic from March is now applied to India. The move strains US-India relations at a moment when Washington needs New Delhi as a strategic counterweight to Beijing.

AUG 29, 2025 [ACTION] US De Minimis Eliminated for All Countries

The Section 321 de minimis exemption, the \$800 threshold that had allowed over 1.36 billion small parcels per year to enter the US duty-free, is eliminated for all countries, not just China. Every small parcel, regardless of origin, now requires formal customs entry. CBP faces an overnight surge in declaration volumes. E-commerce platforms worldwide face a fundamental business model disruption.

ECONOMIC IMPACT, End of Phase 3

- By end of August 2025, retaliatory tariffs from trading partners affect an estimated \$223 billion of US exports based on 2024 import values.
- US exports fall 18.1% under the full tariff regime.
- Agriculture, durable goods manufacturing, and mining see the steepest employment declines.

PHASE 4 : October to December 2025

Sectoral Expansion and Legal Battle : New tariffs on pharmaceuticals, furniture, and lumber, while courts fight over the constitutional question.

OCT 1, 2025 [ACTION] 100% Tariff on Branded Pharmaceutical Drugs

A 100% tariff on branded and patented pharmaceutical drugs from companies that do not manufacture in the United States takes effect. This is the most aggressive pharmaceutical trade action in US history. European and Japanese drug companies with US sales but offshore manufacturing face the sharpest choice: build American factories or see their products double in price at the US border.

SEP–OCT 2025 [ACTION] Timber, Furniture, and Large Trucks

A cascade of sectoral tariffs takes effect: 10% on softwood timber; 25% on upholstered furniture, kitchen cabinets, and bathroom vanities; 25% on large trucks. The furniture and timber tariffs hit the construction and home goods industries hard. Retailers that had shifted sourcing to Vietnam and Malaysia in response to China tariffs now find those alternatives also facing tariffs.

NOV 5, 2025 [LEGAL] Supreme Court Oral Arguments

The Supreme Court hears oral arguments in *Learning Resources Inc. v. President Trump* and *V.O.S. Selections v. United States*, the consolidated cases challenging the IEEPA tariffs. Both cases were brought by importers arguing that IEEPA does not authorise the president to impose broad tariffs. A ruling is expected in early 2026.

DEC 31, 2025 [MARKET] Year-End: The Numbers Land

The US collects \$264 to \$287 billion in customs duties for the year, a 192% increase over the \$79 billion collected in 2024. The average tariff rate has risen from 2.4% to 7.7%, the highest since 1947. But the trade deficit, the stated justification for the entire programme, has barely moved: a reduction of \$2.1 billion on a \$1.1 trillion baseline. By every economic measure the administration itself cited, the core objective has not been achieved.

PHASE 5 : February 2026

The Supreme Court Rules : The constitutional verdict that changed everything, and the questions it left unanswered.

FEB 20, 2026 [RULING] SUPREME COURT RULES 6-3: IEEPA Does Not Authorise Tariffs

The Supreme Court rules 6-3 in *Learning Resources Inc. v. President Trump and V.O.S. Selections v. United States*: 'IEEPA does not authorize the President to impose tariffs.' The reciprocal tariff framework, the Liberation Day architecture, is struck down. The ruling does not affect Section 232 tariffs (steel, aluminium, automobiles, copper, timber, pharmaceuticals), which rest on a separate and court-validated legal authority. Those tariffs remain in place.

What the SC ruling means ?

After the Supreme Court ruling, the US tariff landscape looks like this: the 10% baseline 'reciprocal' tariff on most countries is gone. The higher individualised Liberation Day rates are gone. But the Section 232 tariffs, on steel, aluminium, cars, copper, pharmaceuticals, timber, furniture, remain. So do the Section 301 China tariffs from President Trump's first term. The post-ruling average tariff rate settles at approximately 9%. That is still three to four times higher than the pre-2025 level of 2.4%. The trade war is not over. It has just lost its most ambitious instrument.

FEB 2026 [LEGAL] The Refund Question: \$264 Billion Unresolved

The Supreme Court ruling does not address whether the government must refund the duties collected under the now-invalidated IEEPA tariffs. That question, potentially involving hundreds of billions of dollars, is left for lower courts and future proceedings. Importers who paid IEEPA tariffs and filed timely customs protests may have refund claims. Those who did not file protests may not. The legal and fiscal uncertainty will continue for years.

FEB 2026 [DEAL] India Tariff Withdrawn After Russian Oil Pledge

President Trump announces withdrawal of the 25% secondary tariff on India after India signals it will restrict purchases of Russian oil. The episode illustrates the transactional nature of the tariff regime: duties are not just trade instruments, they are diplomatic levers that can be applied and removed based on geopolitical behaviour.

The final Scorecard : Did the Tariffs initiatives achieve their goals?

Eliminate the trade deficit

Deficit fell by \$2.1 billion on a \$1.1 trillion baseline, essentially unchanged

✗ Not achieved

Reshore manufacturing jobs

US exports fell 18.1%; durable goods, agriculture, and mining employment contracted

✗ Not achieved

Generate government revenue

\$264–287 billion in customs duties, a 192% increase over 2024

✓ Achieved (but paid by US consumers)

Force trading partners to negotiate

Japan, South Korea, Vietnam, UK, EU, Philippines, Indonesia all signed framework deals

✓ Partially achieved

Reduce Chinese economic influence

China retaliated at scale; US soy exporters lost Chinese market permanently; China diversified suppliers

⚠ Mixed, US also hurt

Constitutional durability

IEEPA tariffs struck down 6-3 by Supreme Court on Feb 20, 2026

✗ Legally invalidated

What stays :

Even after the Supreme Court ruling, the US tariff landscape is permanently changed. The Section 232 tariffs, which the Supreme Court did not touch, keep steel, aluminium, automobiles, copper, timber, pharmaceuticals, and furniture under elevated duties. The pre-2025 China Section 301 tariffs remain. The average US tariff rate at the start of 2026, post-ruling, is approximately 9%, more than three times the 2.4% rate that prevailed before President Trump's second term.

The world that existed before January 20, 2025, where most goods entered the US at near-zero MFN tariff rates, where trade policy was managed through multilateral institutions, where supply chains were built on the assumption of open access to the US market, that world is not coming back. Not fully. Not quickly.

The tariff war of 2025 was struck down by the courts. But the political conditions, the industrial constituencies, and the economic nationalism that built it are still in place. That is the single most important fact for any business that trades with the United States.

The 6 things to remember :

1. It started on Day One, January 20, 2025. The tariff war was not improvised. It was planned, sequenced, and activated from the first hour of the second President Trump administration.
2. Liberation Day (April 2) was the centrepiece, a 10% baseline tariff on virtually every country, with higher rates for 57 nations, and 145% on Chinese goods at the peak.
3. The legal foundation cracked, the Supreme Court ruled 6-3 on February 20, 2026 that IEEPA does not authorise tariffs. The reciprocal tariff framework was struck down.
4. Section 232 tariffs survived, steel, aluminium, cars, copper, timber, and pharmaceuticals remain under elevated duties. The post-ruling tariff floor is ~9%: still 3× the pre-2025 average.
5. The economics were painful, \$3,800 per household in lost purchasing power; US exports down 18.1%; GDP growth reduced; the trade deficit barely moved.
6. The world changed permanently, supply chains have been rerouted; trading relationships redefined; and the political conditions for a repeat of 2025 remain fully intact.

Chapter Four :

The Global Retaliation :

The aftermath : Realignments and Resistances

“We will fight to the end. China does not fear a trade war.”

- Chinese Ministry of Commerce spokesperson, April 2025

Every action in international trade produces a reaction, and the 2025 tariff offensive produced reactions from every significant economy on earth. Some countries fought back. Some negotiated. Some tried to find a way around the new walls. And one institution, the World Trade Organization, which was supposed to be the referee of exactly this kind of dispute, found itself irrelevant in the face of a great power's determination to act unilaterally. This chapter traces those responses, because understanding what the world did in reply to Liberation Day is essential to understanding the permanent changes the tariff war produced.

China's reaction : Maximum retaliation

Vegetius wrote for soldiers, but his dictum rings just as true in trade: ***si vis pacem, para bellum*** (if you want peace, prepare for war). China was the primary target of the President Trump tariff offensive, and Beijing had clearly prepared. Its response was the most comprehensive and strategically sophisticated of any trading partner. Unlike most countries, which moved quickly to the negotiating table during the ninety-day pause window, China matched every American escalation step for step, and added its own non-tariff weapons to the confrontation.

The first Chinese response came on February 4, three days after the initial US tariff, when Beijing imposed counter-tariffs specifically targeting American agricultural exports: soybeans, pork, beef, corn, and cotton. The selection was deliberate and precise. These were not random commodities. They were the products that mattered most to the American agricultural heartland, to Iowa soybean farmers, Indiana corn growers, North Carolina pork producers. By targeting them, China was sending a message not to the White House but to the Republican base that had put President Trump in office. The pain of a trade war, Beijing was signaling, would be felt first in the communities most loyal to the president.

When the Liberation Day escalation excluded China from the ninety-day pause and raised US tariffs on Chinese goods to one hundred and twenty-five percent, Beijing's response was equally comprehensive. Counter-tariffs on US goods reached one hundred and twenty-five percent. Export restrictions on rare earth materials were imposed, a weapon that cut at the structural dependency of the American technology and defense sectors on Chinese-controlled mineral supply chains. And the e-commerce trade facilitation advantages that American platforms had enjoyed in the Chinese market were eliminated, mirroring the US elimination of de minimis for Chinese packages.

The rare earth restriction deserves particular attention because it illustrated something important about the asymmetric vulnerabilities in the US-China relationship. The United States has significant natural deposits of rare earth minerals but had, over decades of globalization, allowed its domestic processing capacity to atrophy because Chinese suppliers were cheaper. By 2025, roughly ninety percent of the world's rare earth processing was concentrated in China. For electric vehicle motors, wind turbine generators, advanced semiconductor manufacturing, and military guidance systems, the technologies at the core of both the green energy transition and national security, there was no realistic short-term alternative to Chinese supply. The restriction was lifted in June 2025 as part of a limited diplomatic agreement, but the vulnerability it exposed was structural and could not be resolved in months.

The agricultural retaliation had effects that were faster and more permanent than either side had perhaps anticipated. Chinese state-owned grain purchasers did not gradually reduce their orders from American suppliers. They stopped. Brazilian and Argentine suppliers captured the Chinese soybean market within weeks of Liberation Day, establishing supply chain relationships, logistics infrastructure, and purchasing agreements that acquired their own momentum. American soybean exports to China, which had represented one of the largest bilateral agricultural trade flows in the world, collapsed to near zero in the space of two months. When tariffs are eventually reduced, trade flows that have been redirected do not automatically return. The new relationships persist. The infrastructure serves them. The commercial logic of switching back does not exist. As of early 2026, the Chinese soybean market that American farmers had built over decades remained, for practical purposes, lost.

Canada: The reluctant retaliator

Cicero's bitter warning, *inter arma enim silent leges* (in times of war, the laws fall silent), describes Canada's predicament with uncomfortable precision. Canada's position in the 2025 trade war was, in some respects, the most difficult of any trading partner. The most trade-dependent major economy in the world relative to its size, approximately seventy-five percent of Canadian exports go to the United States, Canada could not absorb twenty-five percent tariffs without severe economic damage. Its steel industry, its automotive sector, its agricultural exporters, and the hundreds of thousands of workers employed in cross-border supply chains that had been built over the thirty years since NAFTA all faced immediate and acute disruption.

At the same time, capitulating entirely without any visible response would have been politically untenable domestically. The Canadian government was navigating a general election in the spring of 2025, with Prime Minister Mark Carney having replaced Justin Trudeau in February after Trudeau's resignation. The trade war became a central issue in the election campaign, with Carney positioning himself as the defender of Canadian sovereignty against American economic aggression, a framing that the Conservatives struggled to counter.

Canada's actual response reflected its structural vulnerability. When the February 1 tariffs were imposed, Carney called President Trump directly, and a thirty-day pause was secured within forty-eight hours. When the pause expired in early March and tariffs resumed, Canada activated a targeted list of retaliatory measures on US consumer goods, orange juice, bourbon, motorcycles, household appliances, chosen to maximize political visibility in US swing states while minimizing damage to Canadian industries that relied on American inputs. It was precision retaliation rather than broad counter-strike. By August, US tariffs on Canadian goods had escalated to thirty-five percent, above even the original twenty-five percent level. Canada responded by halting its planned digital services tax on American technology companies, providing President Trump a visible concession that facilitated a partial diplomatic reset.

What Canada's experience illustrated was the structural reality of economic asymmetry in trade relationships. When your largest trading partner by an enormous margin decides to impose tariffs, your options are constrained regardless of the legal or economic merits of your position. You can retaliate symbolically, negotiate for damage limitation, or accept the full cost. Canada chose a combination of all three, ultimately accepting significant ongoing tariff exposure in exchange for maintaining the relationship and preserving some market access.

The European Union: Two tracks at once

The European Union's response to the 2025 tariff offensive was the most strategically sophisticated among the major trading partners, precisely because it was the most internally divided. The EU is not a single actor in trade policy in the way that Japan or South Korea is, it is a coalition of twenty-seven member states with substantially different economic exposures, different strategic priorities, and different political instincts about how to respond to American trade aggression.

Germany, whose automotive sector sends approximately twenty billion euros in vehicles to the United States annually, was acutely exposed to both the Liberation Day baseline tariff and the specific twenty-five percent automobile tariff. Ireland, whose pharmaceutical industry is disproportionately oriented toward the US market, faced existential exposure from the pharmaceutical tariff threats. The Netherlands, as Europe's largest port and logistics hub, had interests that cut across almost every sector. France, with less direct US market exposure and a longer tradition of state-directed industrial policy, was more willing to contemplate confrontational retaliation. The Southern European states had their own mix of exposures and priorities.

The EU's response to this internal tension was a dual-track strategy: pursue diplomatic engagement and negotiation while simultaneously filing WTO dispute cases, preparing counter-tariff measures, and building legal challenges. In practice, the diplomatic track dominated. The EU Trade Commissioner engaged intensively with the USTR, offering concessions on agricultural market access, digital services regulation, and energy purchasing that had been on the US complaint list for years. The EU was willing to give ground on substance in order to avoid the headline Liberation Day tariff rate.

The breakthrough came on August 21, 2025, when the US and EU published a framework agreement. The EU avoided the threatened thirty percent tariff on all EU goods. In exchange, the EU committed to reducing its own tariffs on a range of US goods, increasing purchases of American liquefied natural gas, and streamlining market access for US financial services in key European markets. The EU then initiated its own legislative process to formally reduce tariffs on US goods, a process requiring European Parliament and Council approval that moved more slowly than a US executive order but that represented a genuine political commitment.

Author's note : The European Strategic Dilemma

The EU's negotiating position in 2025 was shaped by a structural constraint that rarely features in economic analysis of the trade war: the NATO dependency. European countries that were targeted with US tariffs were simultaneously dependent on the American security guarantee for their defense against Russian aggression. Germany, the Netherlands, Poland, and the Baltic states could not afford to push the trade confrontation to the point where it damaged the security relationship. The implicit trade-off, accept economic pain to preserve the military umbrella, was never stated explicitly but was understood by everyone in the negotiating rooms.

This dependency constrained the EU's leverage in a way that purely economic analysis misses. The EU's GDP is comparable to that of the United States. Its trade volumes are large enough that genuine retaliation would have hurt American exporters significantly. But European governments calculated that the cost of being seen to undermine the transatlantic security relationship, at a moment when Russia was fighting a war on European soil, was higher than the cost of the tariffs. Trade economists who wondered why the EU didn't fight harder were missing the security variable.

The WTO : The limits of international Trade laws

The World Trade Organization was, in theory, designed for exactly this kind of situation. When a major trading power imposes tariffs that exceed its WTO-bound commitments, other member states can file dispute cases, panels are convened, rulings are issued, and if the violating country fails to comply, the complaining countries are authorized to impose retaliatory measures of equivalent value. It is an elegant system, carefully designed over decades of negotiation, with the explicit purpose of subjecting trade policy disputes to the rule of law rather than the law of retaliation.

Juvenal's eternal question, *quis custodiet ipsos custodes?* (who will guard the guardians themselves?), had never been more relevant. In 2025, it did not work. The EU, Canada, Japan, China, and other trading partners filed WTO dispute cases against the Liberation Day tariffs. Those cases entered the queue. Panels were formed. Proceedings were initiated. None of it produced any tariff rollback during the year in which the tariffs were most damaging. WTO panel proceedings take twelve to eighteen months under favorable conditions. Appellate Body proceedings take additional time. And the WTO Appellate Body, the institution's highest judicial authority, had been non-functional since 2019, when the President Trump first-term administration blocked new appointments to the body in a successful attempt to paralyze the appellate mechanism. The Biden administration had not reversed this position. In 2025, WTO members could file disputes and receive panel rulings, but there was no functional final court to enforce those rulings against a country that chose to appeal them into the void.

The deeper issue was one that international lawyers have understood for decades but that policymakers often prefer not to confront: international trade law, like all international law, ultimately depends on the voluntary compliance of sovereign states. The WTO can authorize retaliation. It cannot compel a government to change its policy. When the world's largest economy decides that its national interest requires non-compliance with WTO commitments, the institution has no enforcement mechanism that can change that calculation. The dispute cases filed in 2025 were legally valid. They were procedurally correct. They changed nothing about the tariffs that were being collected at every US port of entry.

What the WTO failure illuminated was a fundamental feature of the post-war international order that the 2025 trade war brought into sharp relief: the rules-based multilateral trading system was built by the United States, maintained by the United States, and ultimately dependent on the United States choosing to operate within it. When the United States decided, under IEEPA and Section 232, to simply bypass the system, the system had no mechanism for responding. The rest of the world could file cases, pass resolutions, and issue statements. It could not make the tariffs go away.

The accelerating fragmentation of global supply chains that accompanied the trade war, as companies rerouted production to avoid tariffs, as friend-shoring became a supply chain strategy rather than a policy aspiration, as new trade relationships were built that reflected geopolitical alignment rather than comparative advantage, was the market's answer to the failure of the rules-based system. If you cannot rely on the rules, you build supply chains that don't depend on them.

The global response to the 2025 tariff war produced no single outcome. China retaliated and endured. Canada resisted and accommodated. The EU negotiated and compromised. The WTO watched and filed paperwork. The permanent result was not a restoration of the pre-2025 trading order but an acceleration of the structural fragmentation that had been underway since 2018: a world increasingly organized not around the principle of comparative advantage and open markets, but around geopolitical alignment, investment pledges, and the bilateral calculation of who has leverage over whom.

Chapter Five

Legacy and Reckoning

Economic consequences and the World after the Trade War

“There is a myriad of evidence of American economic stagnation and declines in American manufacturing.”

- TIME Magazine, January 15, 2026

The 2025 tariff war ended, in legal terms, on February 20, 2026, when the Supreme Court of the United States ruled six to three that IEEPA does not authorize the president to impose tariffs. The reciprocal tariff framework, the ten percent baseline, the country-specific Liberation Day rates, all of it was, in a constitutional sense, finished. But ‘ended’ is the wrong word for what actually happened, because the Section 232 tariffs that survived the ruling keep the average American tariff rate at three times its pre-2025 level. The supply chain disruptions are structural. The diplomatic relationships have been permanently recalibrated. And the political coalition that built Liberation Day is intact, energized, and already looking for the next instrument. This chapter is the reckoning: what did the tariff war actually cost, what did the Supreme Court actually decide, and what does the world look like on the other side?

The Economic Scorecard

Horace warned that ***pecunia, si uti scis, ancilla est; si nescis, domina*** (money, if you know how to use it, is your servant; if not, your master). The honest economic assessment of the 2025 tariff programme requires separating what it achieved from what it cost, and asking, with Horace’s question in mind, whether the ratio made sense. On the revenue side, the achievement was unambiguous and historic. The United States collected between two hundred and sixty-four and two hundred and eighty-seven billion dollars in customs duties during 2025, a one-hundred-and-ninety-two-percent increase over the seventy-nine billion collected in 2024. The average tariff rate rose from two-point-four percent to seven-point-

seven percent, the highest level since 1947. By its revenue metrics, the tariff programme was the most successful in modern American history.

The costs were commensurately large. The Yale Budget Lab's comprehensive analysis estimated that all 2025 tariffs reduced real GDP growth by nine-tenths of a percentage point and left the American economy persistently six-tenths of a percent smaller in the long run, equivalent to approximately one hundred and sixty billion dollars annually in foregone output. The average American household lost roughly three thousand eight hundred dollars in purchasing power, measured in 2024 prices. Food prices rose by two-point-eight percent. The average imported vehicle increased in cost by approximately four thousand dollars. US exports fell by eighteen-point-one percent, as foreign retaliation closed markets across agriculture, manufacturing, and services. The durable goods sector, the agricultural sector, and the mining sector all contracted. The sectors that had provided the core of the administration's domestic constituency were among the most severely affected by the consequences of the policy those constituencies had supported.

The macro-economic dashboard for 2025 tells a sobering story in precise numbers. GDP growth slowed to **1.4%** in annualised terms during the final quarter of 2025, against a full-year rate of **2.2%** — well below the 2.8% achieved in 2024 and the 2.9% recorded in 2023. Consumer prices accelerated to **2.9% year-on-year** in December 2025. The Yale Budget Lab specifically calculated that the invalidated IEEPA tariffs alone added between **\$1,250 and \$1,751** to the annual cost burden of the average American household — figures that complement the broader \$3,800 purchasing-power loss when all 2025 tariffs are counted.

Nowhere was the policy contradiction starker than in the trade-deficit figures themselves. Despite being the stated justification for the entire programme, the US goods trade deficit did not merely stagnate — it set a historical record, reaching **\$1.241 trillion**, an increase of 2.1% over the prior year. The tariff policy that promised to close the deficit had, perversely, widened it: import front-running ahead of tariff deadlines, supply-chain displacement driving up input costs, and foreign retaliation shrinking US export revenues all combined to produce precisely the opposite of the declared objective.

At the sector level, the bicycle and outdoor-equipment industry offers an instructive case study. Tariffs applied to Chinese-sourced bicycles and components reached effective rates of approximately **66%** under combined IEEPA and Section 301 surcharges. Brands including **Trek, Specialized, and Shimano** were forced to raise US retail prices, limit import volumes, and delay product deliveries, creating the kind of long-term planning uncertainty that deters capital

investment. The trade association **PeopleForBikes** warned the White House in a formal letter that the impact on the domestic cycle industry could prove "devastating." These were not peripheral players: they were mid-market American brands with US distribution networks and US jobs, caught in the crossfire of a tariff strategy aimed principally at China.

The most devastating single number in the economic record of 2025 is neither the revenue figure nor the GDP impact. It is this: the US goods trade deficit, the declared national emergency, the stated justification for the entire programme, the metric by which the administration had promised to measure success, declined by approximately two billion dollars on a baseline of over one trillion. Two billion dollars. On a trade deficit of one-point-two trillion. That is a reduction of less than two-tenths of one percent. The tariff programme that raised two hundred and sixty-four billion dollars, that cost the average American household three thousand eight hundred dollars, that reduced GDP growth by nearly a full percentage point, that triggered the largest constitutional battle over presidential trade authority in American history, did not measurably move the number it was designed to move.

This was not a surprise to professional economists. The structural explanation is straightforward: trade balances are not determined by tariff structures. They are determined by the relationship between a country's national savings rate and its investment rate. A country that saves less than it invests will import capital and run a current account deficit. The United States has run such a deficit almost continuously since the early 1980s, through periods of high tariffs and low tariffs, through trade agreements and trade wars, through Democratic and Republican administrations. Tariffs can redirect the composition of a deficit, reducing the China share while expanding imports from Vietnam, Mexico, or Taiwan, but they cannot eliminate the aggregate gap without also addressing the underlying macroeconomic conditions. The 2025 data confirmed this with precision. US imports from China fell. US imports from Vietnam, Taiwan, and Mexico rose. The total deficit barely changed.

There were genuine winners in the 2025 tariff economy. American steel and aluminum producers benefited substantially from reduced import competition and higher domestic prices. American pharmaceutical manufacturers gained a powerful competitive advantage as the one-hundred-percent tariff on foreign-produced branded drugs threatened the business models of their European and Japanese competitors. The US customs service itself became, for the first time in living memory, a major fiscal instrument of the federal government, collecting revenues at a scale that made it a significant contributor to federal finances.

But the loser list was longer and more economically consequential. American agricultural exporters lost the Chinese market and had not recovered it by early 2026. American consumers paid higher prices across a broad range of goods. American businesses that depended on imported inputs, manufacturers, retailers, construction companies, faced cost increases that compressed margins and reduced competitiveness. Small importers, who lacked the compliance infrastructure to manage formal customs entry for every parcel, faced disproportionate burdens from the de minimis elimination. And the investment decisions that the tariff programme was supposed to encourage, the reshoring of manufacturing to the United States, were complicated and in some cases deterred by the legal uncertainty surrounding the entire IEEPA framework, as companies declined to commit capital to US manufacturing projects when the policy basis for those projects might be struck down by a court.

The Supreme Court ruling: A game changer

The Roman legal tradition gave us the maxim *fiat iustitia, ruat caelum* (let justice be done, though the heavens fall) , and on February 20, 2026, the Supreme Court proved it meant exactly that. The legal resolution of the 2025 tariff war came with the decisive clarity that the economic outcomes had lacked. On February 20, 2026, in a six-to-three decision in the consolidated cases of Learning Resources Inc. v. President Trump and V.O.S. Selections v. United States, the Supreme Court of the United States ruled that the International Emergency Economic Powers Act does not authorize the president to impose tariffs.

The majority opinion, written by Justice Amy Coney Barrett and joined by five colleagues across the ideological spectrum, a composition that reflected the breadth of the constitutional objections to the IEEPA tariff theory, was methodical in its reasoning. It examined the text of IEEPA, which authorizes the president to ‘regulate’ financial transactions and ‘prohibit’ or ‘regulate’ importation in a declared national emergency. It examined the legislative history of the statute, which was enacted in 1977 specifically to replace an earlier law that had authorized tariffs, and which contained no reference to tariff authority in any of its congressional deliberations. It applied the principle of statutory construction that courts presume Congress does not hide major policy authorizations, like the power to impose the largest tariff increase in eighty years, in broad, non-specific statutory language. The conclusion was not close: IEEPA’s text, history, and structure provided no support for tariff authority, and the administration’s reading of the statute was rejected.

The three dissenting justices, Thomas, Alito, and Gorsuch, argued that the majority's reading was excessively narrow and that the executive branch's broad authority in foreign economic affairs supported the administration's position. But the majority's six-vote margin was sufficiently large to reflect a genuine constitutional consensus rather than a narrow ideological outcome.

The practical consequence of the ruling was immediate and significant. The ten percent baseline reciprocal tariff was invalidated. The country-specific Liberation Day rates, the forty-six percent on Vietnam before the deal, the thirty-plus percent on dozens of countries, were invalidated. Any tariff escalation that had invoked IEEPA authority was struck down. What survived were the Section 232 tariffs, steel, aluminum, automobiles, copper, timber, pharmaceuticals, furniture, and the Section 301 China tariffs from the first President Trump term. These rested on separate and court-validated statutory authorities that the ruling did not touch. The post-ruling average US tariff rate, reflecting these surviving duties, settled at approximately nine percent, still three to four times the pre-2025 level of two-point-four percent.

President Trump's reaction to the ruling was swift and defiant. Within hours of the decision, he publicly labelled the justices — the majority of whom he himself had appointed — "**idiots**", and declared that the United States would be "finished" without the tariff revenues. That same evening of February 20, he signed a new executive order imposing a **10% universal tariff** on all US imports, this time invoking **Section 122 of the Trade Act of 1974** rather than IEEPA. He subsequently announced an intention to raise it to 15%, though that escalation had not materialised by early March 2026. US Customs officially ceased collecting the invalidated IEEPA-based duties on **February 24, 2026**.

The new Section 122 instrument is, however, legally fragile in its own right. The statute explicitly requires the existence of a **balance-of-payments deficit** as a precondition for invoking emergency tariff authority — and the United States balance of payments is currently considered stable by both domestic and international assessors, including the IMF. Legal scholars and trade-law commentators have been swift to note that any challenge to the Section 122 order is likely to succeed on the same structural grounds as the IEEPA challenge: Congress cannot be presumed to have hidden a sweeping unilateral tariff power inside a statute whose trigger conditions are manifestly not met. The tariff war, in other words, may have changed its legal instrument, but not its constitutional vulnerability.

Author's note : THE REFUND CRISIS IN WAITING

The question the Supreme Court did not answer, deliberately left for lower courts, is whether the government must refund the duties collected under the now-invalidated IEEPA tariffs. This is not a small question. A significant portion of the two hundred and sixty-four billion dollars collected in 2025 derived from IEEPA tariffs. If courts ultimately order refunds on valid protest claims, the fiscal exposure is enormous.

But here is the critical practical point that most reporting on the ruling missed: the refund right depends entirely on whether the importer filed a timely customs protest. Under US customs law, a protest must be filed within one hundred and eighty days of the liquidation of the relevant entry. For entries liquidated in April and May 2025, the protest window may have closed before the Supreme Court ruled in February 2026. Companies that paid IEEPA tariffs and did not file timely protests may be permanently barred from recovery, regardless of the constitutional ruling.

This asymmetry, where the government's liability depends on procedural steps that most importers did not take, because they did not anticipate a Supreme Court ruling in their favor, is one of the quiet injustices of the 2025 trade war. Any importer who believes they have IEEPA tariff exposure needs specialized customs legal counsel immediately to assess whether any refund claims remain viable.

The scale of the potential refund liability is without precedent in US customs history. Conservative estimates place the government's exposure at between **\$130 billion and \$200 billion**, representing the IEEPA-derived portion of the \$264 billion in duties collected during 2025. More than **300,000 companies** paid these duties across the period; of these, approximately **2,000** had filed formal refund claims with the Court of International Trade (CIT) by early March 2026 — a number that legal observers expect to rise sharply as the procedural windows are clarified.

Among the companies that moved earliest and most publicly were **Costco, Toyota's US subsidiary, and FedEx** — major importers whose tariff exposure ran into tens or hundreds of millions of dollars. Perhaps the most emblematic case, however, belongs to **Learning Resources Inc.**, an Illinois-based importer of educational toys whose chief executive, Rick Woldenberg, was among the first 2,000 plaintiffs to challenge the tariffs. His company incurred over **\$10 million** in tariff costs between April and December 2025. The case — formally docketed as **24-1287 Learning Resources Inc. v. Trump** — gave its name to the consolidated proceeding that the Supreme Court ultimately resolved. Woldenberg's reflection after the ruling was characteristically measured: "I hope the Court's decision will allow everyone to step back and think about what is important and what needs to be done."

The refund process itself has already produced its own legal drama. On **March 2, 2026**, a federal appeals court rejected the Trump administration's request to delay refund proceedings by up to

four months before the CIT resumed examination of the claims. The ruling confirmed that the administration cannot unilaterally slow-walk its reimbursement obligations — a finding that places sustained fiscal pressure on a federal budget already strained by the loss of the tariff revenue stream. The combined effect of ceasing collection and facing mass refund litigation represents a fiscal reversal of historic proportions for an administration that had framed tariffs as a pillar of its revenue strategy.

What are the main geopolitical Aftershocks ?

Cicero's reminder that *historia magistra vitae est* (history is the teacher of life) has rarely felt more urgent. The economic and legal consequences of the 2025 tariff war are, in important ways, more measurable than its geopolitical consequences, but those geopolitical consequences may ultimately prove more durable. The trade war did not just raise the cost of imported goods. It changed how allied nations think about the reliability of the United States as a partner, and it accelerated structural shifts in the global economic order that will not reverse when the tariffs are eventually reduced.

The deepest geopolitical tension produced by the trade war was the paradox of allied nations, Germany, Japan, South Korea, Canada, the UK, that found themselves simultaneously targeted with American trade weapons and expected to maintain security partnerships with the United States. Germany faced threatened thirty-percent tariffs on its manufactured goods while contributing troops to NATO's eastern flank and hosting American military forces at its bases. Canada faced twenty-five percent tariffs while participating in joint military exercises with the United States and sharing continental defense responsibilities through NORAD. Japan faced threatened twenty-five-to-thirty-five-percent tariffs while hosting American military bases and serving as the cornerstone of the US Indo-Pacific security architecture.

The implicit calculation that most allied nations made, accept the economic cost rather than risk the security relationship, revealed something important and troubling about the structure of American power. Geopolitical dependency subsidized trade aggression. Allies who could not afford to lose the American security guarantee could not, in the final analysis, afford to fully retaliate against American trade measures, regardless of the economic justification for doing so. The tariff war demonstrated that the United States could extract economic concessions from security-dependent allies that it could not extract from fully sovereign powers like China.

The long-term geopolitical effect that may prove most consequential is one that is difficult to observe directly: the quiet diversification of economic relationships away from the United States by countries that experienced the tariff shock. Germany accelerated its trade and investment relationships with Southeast Asia and India. South Korea invested in supply chain relationships in non-US markets. China deepened its economic ties with the Global South, positioning itself as a reliable long-term partner for countries that had witnessed the instability of US trade policy. These moves are structural rather than tactical. They do not reverse when US tariffs are reduced. Supply chain relationships, once built, have their own momentum, contracts, logistics infrastructure, commercial relationships, and institutional familiarity that persist long after the policy conditions that created them have changed.

The international response to the ruling itself illuminated the depth of the uncertainty it left behind. The **European Commission** issued an immediate statement insisting that "an agreement is an agreement" and calling on Washington to honour the trade commitments made in prior bilateral declarations. **Christine Lagarde**, President of the European Central Bank, acknowledged that she was "not sure" of the full consequences of the ruling, adding: "It is fundamentally important that everyone in trade clearly knows the future of the relationships." Trade Representative **Jamieson Greer** sought to reassure partners that existing bilateral agreements — with the EU, China, and others — would not be invalidated by the court's decision. **China**, for its part, called on the United States to "cancel the unilateral tariffs imposed on trading partners," signalling that Beijing would use the legal vacuum as leverage in ongoing commercial negotiations. The global market found itself, as one commentator put it, "caught between the Supreme Court's constitutional corrections and the President's unwavering protectionist obsession."

Was it a permanent shift or a temporary aberration?

The old Latin verse captures the dilemma: *tempora mutantur, nos et mutamur in illis* (the times change, and we change with them). The deepest question about the 2025 tariff war is whether it represents a temporary deviation from the post-war US trade policy consensus, or a structural inflection point from which the global trading system will not return. The answer, as of early 2026, is that it is both, depending on which dimension you examine.

In legal terms, IEEPA has been definitively closed as a tariff instrument. The Supreme Court's six-to-three ruling is a clear constitutional boundary that future presidents cannot cross without a new statutory authority. To impose Liberation Day-scale tariffs through executive action, a future

administration would need either new legislation from Congress or a legal theory that the Supreme Court has not yet had occasion to reject. In this specific and narrow sense, what happened in 2025 was a one-time constitutional overreach that the courts corrected.

In structural terms, however, the permanence of the change is harder to deny. The Section 232 tariffs on steel, aluminum, automobiles, copper, pharmaceuticals, timber, and furniture remain in effect and will not automatically disappear when administrations change. There is no mechanism for their automatic removal, each would require a new Section 232 review and a presidential decision to reverse course. The political coalition that supports maintaining these tariffs is organized, well-funded, and connected to communities with genuine economic grievances. The post-ruling tariff floor of approximately nine percent is, for practical purposes, the new baseline of American trade policy, and there is no political coalition of comparable strength advocating for its reduction.

The supply chain fragmentation that the 2025 trade war accelerated is also structural. Friend-shoring, building supply chains along lines of geopolitical alignment rather than purely economic efficiency, has moved from a policy concept to a business reality. Companies have made investments, signed contracts, built logistics networks, and hired workforces that reflect a world where tariff exposure depends on geopolitical relationships. Reversing those investments would require not just policy change but commercial logic, and commercial logic follows investment momentum.

The political conditions that produced Liberation Day are, most consequentially, still intact. The economic nationalism that drove the 2025 tariff offensive did not lose when the Supreme Court ruled in February 2026. The court stopped one instrument. It did not dissolve the movement, the constituency, or the conviction that trade deficits are scorecards, that tariffs are weapons of national sovereignty, and that America's trading partners have been taking advantage of its openness for decades. Any future president, of either party, who wants to use trade policy aggressively has both the legal vehicles (Section 232, Section 301) and the domestic constituency to do so.

The ultimate paradox of the 2025 tariff war, and it is a genuine paradox, not merely rhetorical, is that a policy designed to make America economically dominant made it economically weaker in the short run, diplomatically more isolated in its relationships with allies, and legally overreaching in its constitutional theory. Yet it permanently altered the terms of the debate about trade, sovereignty, and American economic power. The pre-2025 consensus, that open markets served

American interests, that multilateral institutions provided useful discipline, that trade deficits were manageable macroeconomic phenomena rather than national emergencies, that consensus is gone. It was not strong enough to survive a determined political movement that rejected it.

The world that exists in early 2026 is not the world of January 2025. The tariffs that remain are not the tariffs of January 2025. The relationships between the United States and its trading partners have been recalibrated in ways that will not fully reverse. The supply chains of the global economy have been rerouted. The legal authority for IEEPA tariffs has been closed. The Section 232 floor has been normalized at three times its pre-2025 level. And the political movement that did all of this is still there, still organized, still convinced it was right, and still looking for the next opportunity.

Finally, If the Supreme Court closed the IEEPA door, the political conditions that built it all, are standing outside it, looking for the next entrance. The underlining legacy of the 2025 trade war is not the tariffs that were struck down, but highlighting the ones that survived and the conditions that will produce the next ones.

Chapter Six

The Aftermath: What's Next ?

New chapters in world economics

Horace warned that *vis consili expers mole ruit sua* (force without judgement collapses under its own weight), and the nineteen months that followed the Supreme Court's February 2026 ruling read like an extended illustration of the maxim. This book's original conclusion closed the story at a moment that felt, understandably, like an ending: IEEPA dead, Section 122 freshly signed, refund litigation just beginning. It was not an ending. It was the opening exchange in what became, by September 2026, a running duel between an executive branch determined to keep tariff authority alive by any statutory vehicle available, and a judiciary that kept finding the same constitutional defect wherever it looked. Four separate legal instruments, IEEPA, Section 122, Section 338, and Section 301, were invoked in the space of a year and a half. Three courts intervened, twice against the same administration on the same underlying claim. Not one of these rulings has yet produced a dollar of actual refund in an importer's bank account. That gap, between judicial victory on paper and financial reality on the ground, is the real subject of this closing chapter.

Whac-a-Mole Jurisprudence: From Section 122 to Section 301

The pattern established on the evening of February 20, 2026, when Proclamation 11012 replaced the invalidated IEEPA tariffs with a 10% global surcharge under Section 122 of the Trade Act of 1974 within hours of the Supreme Court's ruling, repeated itself with almost mechanical regularity for the rest of the year. Section 122 itself was never on solid ground. The statute requires the president to identify a genuine “balance-of-payments deficit,” measured, Congress intended in 1974, against one of three recognised metrics: liquidity, official settlements, or basic balance. By 2026, none of those Bretton-Woods-era concepts corresponded cleanly to how the international monetary system actually functions, a point the government's own counsel conceded at oral argument on April 10, 2026. On May 7, 2026, a divided three-judge panel of the Court of International Trade, in the consolidated cases of *Oregon v. United States* and *Burlap and Barrel, Inc. v. United States*, ruled two-to-one that Proclamation 11012 exceeded the president's Section

122 authority. Senior Judge Stanceu dissented, arguing the majority had read the statute's "deficit" language too narrowly.

The victory was narrower than the headlines suggested. The court granted standing to only three of the plaintiffs before it, the State of Washington (through the University of Washington's own import activity), Burlap and Barrel, Inc., and Basic Fun, Inc., and dismissed the claims of the twenty-one other state co-plaintiffs for lack of standing, finding their alleged injuries, indirect cost pass-through to residents and state agencies, too speculative to support a legal claim. The permanent injunction the CIT issued therefore protected exactly three importers. Everyone else kept paying. The government appealed to the Federal Circuit the following day and requested an immediate stay; the administrative stay came on May 12, and on June 11, 2026, the Federal Circuit granted a full stay pending appeal, finding, under the traditional four-factor test of *Nken v. Holder*, that the government was likely to succeed on the merits. The tariff, ruled unlawful by a federal court, continued to be collected from every importer except the three named plaintiffs, on the strength of an appellate court's prediction that the ruling protecting them would eventually be reversed.

Section 122's own internal clock made the litigation partly academic. The statute caps this kind of emergency surcharge at one hundred and fifty days absent an act of Congress, and no extension legislation was ever introduced. The tariff expired by operation of law at 12:01 a.m. Eastern time on July 24, 2026, exactly one hundred and fifty days after it took effect. In the same minute, a replacement took its place: new duties of ten to twelve and a half percent on the products of sixty economies, published at 91 Fed. Reg. 47318, this time under Section 301 of the Trade Act of 1974, justified by a United States Trade Representative investigation into forced-labor practices in global supply chains. The investigation's determination had been issued on June 2, its public hearing held on July 7, its effective date synchronised to the exact second Section 122 expired. Unlike Section 122, Section 301 carries no statutory sunset clause. For the first time since Liberation Day, the administration had found an instrument without a built-in expiration date.

On August 3, 2026, a coalition of twenty-five states, nearly all led by Democratic attorneys general, from New York and California to Arizona, Colorado, Minnesota, Pennsylvania, and Delaware, filed suit at the Court of International Trade against the new Section 301 duties, which by then covered goods representing over ninety-nine percent of US imports from the affected economies. Attorney General Letitia James of New York called it, in a public statement, the administration's third attempt to reimpose tariffs the courts had already struck down twice. The complaint pointed to a specific structural flaw: the forced-labor investigation, unlike a genuine

Section 301 inquiry, built in no mechanism by which a targeted country could see its duties lifted if it changed the practices being penalised, a design the plaintiffs argued was inconsistent with the statute's own text. That case was still pending as this chapter was written. Separately, the Federal Circuit heard oral argument on the merits of the Section 122 appeal on August 31, 2026; the Cato Institute and Professor Ilya Somin, who had helped bring the original IEEPA challenge, filed a further amicus brief on September 9 urging the court to affirm the CIT and, if necessary, to hold that Section 122 as the administration reads it would itself be an unconstitutional delegation of legislative power. No ruling had issued by the time of writing.

- Canada and a Ninety-Six-Year-Old Statute :

If the domestic legal fight showed an administration cycling rapidly through contemporary trade statutes, the Canadian front showed it reaching back nearly a century for one nobody had ever used. On July 20, 2026, President Trump signed three proclamations imposing an additional fifty percent ad valorem tariff on Canadian motor vehicles, alcoholic beverages, dairy products, and a broader annexed list running from cement and furniture to textiles and hockey sticks, an amount the administration's own fact sheet put at roughly twenty billion dollars of annual trade, against a Canada-US goods relationship worth closer to three hundred and eighty billion. The legal basis was Section 338 of the Tariff Act of 1930, a Hoover-era provision, enacted the same year as Smoot-Hawley itself, that no American president had invoked in the ninety-six years since. The proclamations characterised the measure as a response to Canadian “discrimination” against US exports and to Ottawa's continued retaliation against earlier tariff rounds. Unusually, the duties applied even to Canadian goods that qualified for duty-free treatment under the USMCA, the very trade agreement Washington had negotiated, and renegotiated, as the supposed foundation of North American trade.

Canada, one of only two trading partners the White House had by then singled out for refusing to “negotiate rather than retaliate,” the other being China, announced it would match the new duties dollar for dollar. The symbolism of Section 338 was not lost on trade lawyers: an administration that had exhausted IEEPA and was fighting to keep Section 122 alive in the Federal Circuit had gone looking, and found, a still-valid statute from the same legislative era that produced Smoot-Hawley, the law this book's earlier chapters repeatedly invoked as the twentieth century's cautionary tale. The tariff king this administration cites as its inspiration,

William McKinley, was, by the time this chapter is being written, no longer the only precedent in play; Herbert Hoover's Congress had quietly supplied a second one.

- China: The Rare-Earth Counterweight :

While the American courts adjudicated the legality of successive tariff instruments, the most consequential leverage in the US-China relationship shifted to a domain no court could touch. In April 2025, Beijing had added seven rare-earth elements and related processing technologies to its export control list, in direct retaliation for the Liberation Day tariffs; the United States had relied on China for roughly seventy percent of its rare-earth imports between 2020 and 2023. A truce reached at the Trump-Xi summit in South Korea in October 2025 saw China formally suspend the broadest of these controls through November 10, 2026, part of a wider trade détente that included Chinese commitments to purchase Boeing aircraft and American agricultural goods.

The truce proved narrower than advertised. Chinese customs data reviewed in May 2026 showed exports of the heavy rare earths dysprosium, terbium, and yttrium, materials essential to defence electronics, semiconductors, and the magnets inside electric vehicles, still running roughly fifty percent below their pre-control volumes, even as headline rare-earth export totals had largely recovered. Prices for yttrium outside China had risen roughly one hundred and forty-fold since April 2025; dysprosium and terbium were four to five times more expensive. Beijing continued to license exports selectively, preserving leverage over the supply chains it judged strategically sensitive, while insisting publicly that it approved all eligible requests. Then, after trade talks in Madrid collapsed in late May 2026, over what Washington characterised as Chinese blacklisting measures and port fees on China-linked vessels, and Beijing characterised as provocative American escalation, Trump announced on May 30 a new one hundred percent tariff on Chinese goods and fresh export controls on critical software, both to take effect November 1, 2026. China's Ministry of Commerce responded not with a matching tariff but with a statement of quiet defiance: "China's stance is consistent. We do not want a tariff war, but we are not afraid of one." No retaliatory tariff followed immediately. For a government that had answered every previous American escalation in kind, the restraint itself was a signal, a reminder that Beijing's most effective lever by mid-2026 was not the tariff schedule but the mineral supply chain, and that it had no need to spend that lever prematurely.

- Brussels Moves on Its Own Timetable: The Steel Doubling :

Not every escalation of 2026 was a response to Washington. The European Union's steel safeguard measures, due to expire on June 30, 2026, gave the European Commission an occasion to act independently of the American legal saga entirely. Facing a projected seven hundred and twenty-one million tonnes of global steel overcapacity by 2027, driven overwhelmingly by Chinese production, the Commission proposed in October 2025 to cut the volume of steel importable duty-free by nearly half, to roughly eighteen point three million tonnes a year, a forty-seven percent reduction from 2024 levels, while doubling the out-of-quota tariff from twenty-five to fifty percent, the same level the United States and Canada had already applied to steel. Governments and the European Parliament reached final agreement on the measure in 2026. Executive Vice-President Stéphane Séjourné described it as “the reindustrialisation of Europe.” The move mattered less for what it said about transatlantic relations, the EU had in parallel filed its own WTO complaints against the American steel and aluminium tariffs, than for what it revealed about the new global default: even a trading bloc that had spent 2025 publicly defending open markets against Washington's protectionism found itself, within a year, adopting Washington's own tariff level as the ceiling for its defence against a third party. The floor the 2025 trade war set in the United States was, by 2026, being adopted voluntarily elsewhere.

THE REFUND CRISIS, ACT TWO

The first edition of this book flagged the IEEPA refund exposure, conservatively estimated at between one hundred and thirty and two hundred billion dollars, as a crisis in waiting. By September 2026, a second, structurally similar refund exposure had stacked on top of it, and produced an even starker illustration of how little a favourable ruling is worth without an unstayed injunction behind it.

The Court of International Trade's May 7, 2026 ruling against Section 122 was, on its face, a second major defeat for the tariff programme: a federal court found the surcharge unlawful and ordered it refunded with interest. In practice, the ruling reached exactly three parties. Every other importer who paid the Section 122 surcharge between February 24 and July 24, 2026, roughly five months of ten percent duties on nearly the entirety of US imports, remains, as of this writing, without a ruling that helps them, because the Federal Circuit's stay pending appeal keeps the CIT's injunction from taking broader effect, and because the underlying appeal was still pending when the tariff expired on its own terms anyway.

The practical lesson compounds the one from the IEEPA episode: winning the constitutional argument and receiving the money are two different processes, on two different timelines, and an administration facing serial defeats has consistently found ways, appeals, stays, a fresh proclamation, a new statute, to keep the second process several steps behind the first. Any importer with Section 122 or Section 301 exposure should treat a protest filing as time-sensitive regardless of how the pending Federal Circuit appeal is ultimately decided; standing to collect a refund is being litigated as fiercely as the underlying legality of the tariff itself.

What's Next ?

Four instruments, one instinct. IEEPA gave the broadest reach and fell first. Section 122 gave a narrower, time-limited reach and is currently alive only because an appellate stay outran its own one-hundred-and-fifty-day sunset clause; a Federal Circuit ruling against it, whenever it comes, will arrive after the tariff it concerns has already expired on its own terms, leaving only the refund question live. Section 338 reached back to 1930 for a tool untested by any court in the modern era, and its first real judicial test has not yet happened. Section 301, the newest of the four, is also, perversely, the most durable: unlike its predecessors, it carries no legislative expiration date, and unless a court finds a defect in the forced-labor investigation itself, it does not expire on a calendar the way Section 122 did. If the pattern established since February 2026 holds, the next legal challenge will not be a challenge to whether tariffs can be imposed at all, that question already has a six-to-three answer, but to which of the remaining statutory doors can still be forced open, and how long each one stays open before the next court closes it.

William McKinley, the president this administration has repeatedly invoked as its model, spent the final address of his life, delivered in Buffalo on September 5, 1901, the day before his assassination, walking back the very doctrine that made him famous: “commercial wars are unprofitable,” he told his audience, arguing that reciprocal trade agreements, not retaliation, were “in harmony with the spirit of the times.” Nineteen months after the Supreme Court’s ruling, the administration that renamed a mountain in his honour showed no comparable evolution. Each judicial defeat was followed, within a day or within the same minute, by a new statutory theory rather than a change of course. The lesson McKinley reached only at the end of his presidency, that tariffs are a tool with diminishing returns and rising diplomatic cost, remains, as of September 2026, an open question rather than a settled one for his self-declared successor.

For the reader running an actual supply chain rather than a courtroom strategy, the practical takeaway of this chapter is narrower than its legal drama might suggest, and more useful. Rate matters less than duration, and duration is no longer written into the tariff itself, it is written into the litigation calendar. A ten percent surcharge with a hard one-hundred-and-fifty-day sunset is a cash-flow problem you can model. A ten-to-twelve-and-a-half percent duty with no sunset clause, sitting behind a forced-labor investigation that provides no mechanism for a targeted country to have it lifted, is a structural cost of doing business in the American market, one that ends only when a court says so, not when a calendar does. Customs strategy in 2026 is no longer about identifying the current tariff and planning around it. It is about identifying which statutory vehicle is currently load-bearing, watching which court has jurisdiction over it, and building a sourcing structure resilient enough to survive whichever vehicle the administration reaches for next. The war of instruments is, in that sense, the true successor to the war of tariffs this book set out to document, and it shows no sign, as of this writing, of being any closer to its own conclusion.

Conclusion :

Virgil knew, as any strategist must, that ***non omnia possumus omnes*** (we cannot all do everything). The Supreme Court's eventual restriction of IEEPA authorities in 2026 provided a momentary sigh of relief for traditionalists , but it would be a fatal management error to mistake this for a return to "business as usual." The door to executive emergency powers may have been narrowed, but the political and economic conditions that built that door remain standing outside, ready to force another entrance.

The true legacy of the 2025 Trade War is the normalization of the Section 232 floor at triple its pre-conflict levels and the permanent rerouting of global supply chains toward "trusted" partners. We have moved from a world of Efficiency to a world of Allegiance.

For the modern company creator, the lesson is clear: Customs is no longer a back-office compliance function, it is a frontline strategic weapon. The "optimum results" I advocate for in these pages require a rejection of cheap validation. Success in this new era belongs to those who view a 15% tariff not as a cost to be absorbed, but as a signal to innovate, relocate, and re-leverage their entire value chain. The war of tariffs has evolved into a war of resilience. The question is no longer if the next shock will come, but how you have fortified your perimeter.

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3. **Supreme Court of the United States (Feb 20, 2026):** *“Learning Resources, Inc. v. Trump (No. 24-1287).”* Detail: The 6-3 majority opinion authored by Chief Justice Roberts striking down IEEPA-based tariffs as unconstitutional.
4. **Federal Register (May 2025):** *“EO 14256: Synthetic Opioid Supply Chain and De Minimis Exemptions.”* Detail: Specifically addresses the closure of the \$800 "de minimis" loophole for Chinese goods.
5. **U.S. Customs and Border Protection (CBP) Bulletin (Feb 21, 2026):** *“Guidance on the Suspension of IEEPA Collections.”* Detail: Technical instructions for the immediate cessation of "Liberation Day" tariff collections.

II. Economic & Forensic Analysis

6. **Yale Budget Lab (Feb 21, 2026):** *“State of Tariffs: February 2026.”* Detail: Analyzes the shift from IEEPA to **Section 122** authority and calculates the normalized Section 232 floor.
7. **Tax Foundation (Feb 2026):** *“Tariff Tracker: Impact of Trump Tariffs by the Numbers.”* Detail: Confirms the \$264 billion collected in 2025 and the \$2.1 billion minimal impact on the total trade deficit.
8. **Wharton Presidential Budget Model (PWBM) (April 2025):** *“The Economic Effects of President Trump’s Tariffs.”* Detail: Early forensic projection of long-run GDP decline (approx. 6%) and household income loss.
9. **Peterson Institute for International Economics (PIIE) (Jan 2026):** *“The Decoupling Delusion: Why the 60% China Surcharge Rerouted Rather Than Reshored.”* Detail: Deep dive into the "Mexico/Vietnam bypass" strategies used by manufacturers.
10. **Deutsche Bank Research (Dec 2025):** *“The 12% Ceiling: US Tariff Averages Reach Post-WWII Highs.”* Detail: Historical comparison of 2025 tariff levels against the 1930 Smoot-Hawley era.

III. Management & Supply Chain Reviews

11. **Harvard Business Review (Sept 2025):** *“Boardroom Agility: Leading Through the 2025 Trade Shock.”* Detail: Case studies on how EU firms (like your Stuttgart example) pivoted their US operations.
12. **Supply Chain Management Review (Nov 2025):** *“The Newark Bottleneck: Customs Audits as Non-Tariff Barriers.”* Detail: Explores the "administrative friction" you noted in your coaching sessions.

13. **McKinsey Global Institute (Jan 2026):** *“Resilience Over Efficiency: The New Procurement Mandate.”* Detail: Validates your thesis on the shift toward "trusted partner" sourcing.
14. **J.P. Morgan Global Research (June 2025):** *“The Currency Trap: Devaluation as a Defense Against EO 14257.”* Detail: How trading partners used monetary policy to offset the 10% baseline tariff.

IV. International & Retaliatory Perspectives

15. **Cleary Gottlieb Trade Alert (April 2025):** *“The EU’s Response to Trump II Tariffs.”* Detail: Lists the €18 billion in countermeasures against US motorcycles, whiskey, and steel.
16. **Eurasia Review (April 2025):** *“When Tariffs Turn to Trenches.”* Detail: Analysis of the geopolitical risks of "decoupling" in the South China Sea.
17. **South China Morning Post (Aug 2025):** *“Beijing’s Long Game: The 145% Threshold.”* Detail: Reviews China’s internal response to the combined 60% surcharge and Section 301 layers.
18. **Pillsbury Law Insights (Jan 2026):** *“The Greenland Link: Tariffs as Political Leverage.”* Detail: Documents the escalation of tariffs against EU members over non-trade diplomatic issues.

V. Legal Commentary & Future Outlook

19. **Brookings Institution (Feb 24, 2026):** *“The End of IEEPA Tariffs? Why the Battle Moves to Section 232.”* Detail: Critical analysis of why the "political movement" will continue to seek alternative legal entrances.
20. **Skadden Arps (Feb 20, 2026):** *“The Refund Chaos: Immediate Implications for Importers.”* Detail: Practical management guide on how companies can claim the \$200B+ in illegally collected duties.
21. **Court of International Trade (May 7, 2026):** *“Oregon v. United States and Burlap and Barrel, Inc. v. United States.”* Detail: 2-1 panel decision holding Proclamation 11012's Section 122 tariffs unlawful; standing limited to three named plaintiffs; Judge Stanceu dissenting.
22. **Gibson Dunn (May 20, 2026):** *“Section 122 Global Tariffs Invalidated by the Court of International Trade: Ruling and Next Steps.”* Detail: Summarises the CIT's standing analysis and the narrow scope of the injunction.
23. **U.S. Court of Appeals for the Federal Circuit (June 11, 2026):** *“State of Oregon v. Trump, Nos. 2026-1804, 2026-1805.”* Detail: Grants the government's motion for a stay pending appeal under the Nken four-factor test, keeping Section 122 duties in effect for non-plaintiffs.
24. **Federal Register (July 24, 2026):** *“91 Fed. Reg. 47318.”* Detail: Section 301 forced-labor duties of 10-12.5% on sixty economies, effective the same minute Section 122 expired by statute.
25. **Center for American Progress (July 2026):** *“Trump's Section 122 Tariffs Have Delivered Nothing for American Businesses, Workers, or Communities.”* Detail: Assessment published ahead of the July 24 statutory expiration.

26. **Cato Institute / Ilya Somin (September 9, 2026):** “*Our New Federal Circuit Amicus Brief in the Section 122 Tariff Case.*” Detail: Amicus brief filed ahead of the pending Federal Circuit merits decision, arguing Section 122 as invoked is an unconstitutional delegation.
27. **Wiley Rein LLP (July 21, 2026):** “*President Trump Imposes New 50% Tariffs on Certain Canadian Imports.*” Detail: First-ever use of Section 338 of the Tariff Act of 1930, covering autos, alcohol, and dairy, effective August 19, 2026.
28. **La Presse Canadienne / L'Avenir / Le Temps (August 3-4, 2026):** “*25 États américains poursuivent Trump en justice pour ses nouveaux droits de douane.*” Detail: Coverage of the twenty-five-state coalition suit against the Section 301 forced-labor duties, led by Attorneys General James, Jennings, and others.
29. **Reuters / Mining Weekly (May 13, 2026):** “*Trump, Xi to weigh rare earth truce extension, but China's curbs still bite.*” Detail: Chinese customs data showing persistent shortages of heavy rare earths despite the October 2025 truce.
30. **Various wire services (May-June 2026):** “*China slams Trump's 100 percent tariff threat, defends rare earth curbs.*” Detail: Coverage of the collapse of Madrid trade talks and China's measured public response.
31. **Reuters / TradingSat / La Télé (October 2025-2026):** “*L'UE veut doubler les droits de douane sur l'acier et baisser de moitié les quotas d'importation.*” Detail: European Commission's steel safeguard overhaul, independent of the US tariff litigation, aligning EU rates with US and Canadian levels.

